

UNIT 3: FINANCIAL STATEMENTS

FDNACCT: FOUNDATIONAL FINANCIAL ACCOUNTING

Term 1, AY 2026–2027 | Authored & Prepared by Filbert Richerd N. Ng Tsai

Financial Statements Overview

Definition	General purpose reports that provide financial information about the reporting entity's [business] economic resources [assets] , claims against the entity [liabilities and owner's equity] , and changes in those economic resources and claims [income, expenses, owner's capital, owner's drawings] that is useful to primary users in making decisions relating to providing resources to the entity.
Objective	To provide financial information about the reporting entity's assets, liabilities, equity, income, and expenses that is useful to users of financial statements in assessing the prospects for future net cash inflows to the reporting entity and in assessing management's stewardship of the entity's economic resources (includes protecting assets against price/technological changes and statutory compliance).
Scope	Financial information about the reporting entity as a single economic unit.
Reporting Period	Specified artificial period of time (Fiscal Year or Calendar Year). Information about events after reporting period is disclosed if necessary to meet objectives (PAS 10).
Perspective	From the perspective of the reporting entity as a whole, not any particular group of stakeholders.
Assumption	Going-concern assumption (the entity will continue operations for the foreseeable future without intent or necessity to liquidate).

Elements of Financial Statements (IFRS Conceptual Framework)

Conceptual Framework	Element	Definition or Description
Economic resource	Asset	A present economic resource controlled by the entity as a result of past events. • <i>Economic resource</i>: A right that has the potential to produce economic benefits. • <i>Control</i>: Present ability to direct the use and obtain benefits flowing from it.
Claim	Liability	A present obligation of the entity to transfer an economic resource as a result of past events. • <i>Obligation</i>: An unavoidable duty or responsibility owed to another party.
Claim	Equity	The residual interest in the assets of the entity after deducting all its liabilities.
Changes in economic resources (Performance)	Income	Increases in assets, or decreases in liabilities, resulting in increases in equity , other than contributions by equity holders.
Changes in economic resources (Performance)	Expenses	Decreases in assets, or increases in liabilities, resulting in decreases in equity , other than distributions to equity holders.
Other changes in equity	Contributions / Distributions	Contributions by owner (investments) and distributions to owner (drawings) in their capacity as owners.

3.1 Statement of Financial Position [Balance Sheet]

Definition	A position statement that reports the financial condition (financial standing; financial strength) of an entity at the end of the period and presents an organized list of assets, liabilities, and owner's equity.
Usefulness	Provides information useful to assess liquidity (ability to pay short-term debt), long-term solvency, financial flexibility, and operating capability.
Limitations	- Reported book value does not directly measure the company's total market value. - Many assets are measured at historical cost rather than fair market value. - Valuable unrecorded intangibles (employee knowledge, loyal client goodwill, management team) are omitted.

Presentation Forms of the Statement of Financial Position

Report Form (Vertical Cascade) Assets listed first at top, followed by Liabilities, followed by Owner's Equity below. Assets Liabilities Owner's Equity	Account Form (Horizontal T-Account) Assets listed on the left side; Liabilities and Owner's Equity listed on the right side. Left: Assets Right: Liabilities & Owner's Equity
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ASSETS

A present economic resource controlled by the entity as a result of past events.

- **Economic resource:** A right that has the potential to produce economic benefits.
- **Control:** The present ability to direct the use of the resource and obtain economic benefits flowing from it.
 - No other party controls the asset; enforceable legal rights; right to deploy asset in operations.

Current Assets — An entity classifies an asset as current when it meets ANY of the following criteria:

- Expected to be realized (converted to cash), sold, or consumed within the entity's normal operating cycle.
- Held primarily for the purpose of trading.
- Expected to be realized within 12 months after the reporting period.
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least 12 months.

*Operating Cycle <i>Time between the acquisition of assets for processing and their realization in cash or cash equivalents. Where an entity has no clearly defined operating cycle, 12 months is assumed.</i>	1 Use cash to acquire inventory 2 Prepare inventory for sale to customers 3 Deliver inventory to customer 4 Collect cash from customer
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Current assets are listed on the Statement of Financial Position **according to liquidity** (nearness to cash):

1. **Cash and cash equivalents:** Currency on hand, petty cash, savings/checking accounts, and 90-day time deposits.
2. **Trade and other receivables:** Accounts Receivable (net of Allowance for Doubtful Accounts), Promissory Notes Receivable (current), Interest Receivable, and Advances to Employees.
3. **Inventory:** Merchandise purchased and held for resale; supplies awaiting consumption in operations.
4. **Prepaid expenses [Deferred expenses]:** Cash paid in advance creating a future right (Prepaid Rent, Prepaid Insurance, Advances to Suppliers).

Non-Current Assets — Residual by definition; all assets not qualifying as current are classified as non-current.

- **Property, Plant, and Equipment (PPE):** Tangible assets held for use in operations and expected to be used across more than one period (Land, Land Improvements, Buildings, Machinery, Office Equipment, Furniture & Fixtures, Delivery Vehicles).
- *Note on Measurement:* Land is permanent and does not depreciate. All depreciable PPE items are presented at **Historical Cost less Accumulated Depreciation**. Under the Historical Cost Principle, appraisals and market purchase offers are strictly ignored!

LIABILITIES

A present obligation of the entity to transfer an economic resource as a result of past events.

- **Current liabilities:** Expected to be settled in normal operating cycle, held for trading, due within 12 months, or no unconditional right to defer settlement for at least 12 months (Accounts Payable, Utilities Payable, Salaries Payable, Short-term Notes, Unearned Revenues, Bank Overdrafts).
- **Non-current liabilities:** Long-term notes payable, Mortgage payable secured by real property, and Bonds payable maturing beyond 12 months.

Deferrals and Accruals Master Classification

Category	Economic Description	Current Status	SFP Classification
Prepaid expense [Deferred expense]	Expense paid in advance	Not yet used / consumed	CURRENT ASSET
Unearned income [Deferred income]	Revenue received in advance	Not yet earned (Paid by delivering service)	CURRENT LIABILITY

Accrued income [Accrued revenue]	Revenue already earned	Not yet received in cash	CURRENT ASSET
Accrued expense [Accrued payable]	Expense already used / consumed	Not yet paid in cash	CURRENT LIABILITY

CRITICAL PEDAGOGICAL SCOPE CAVEAT (Course Architecture)

*In Unit 3 (Financial Statements), our strict focus is on **Statement of Financial Position classification** (identifying whether an item is a Current Asset or Current Liability) and recognizing how it impacts Working Capital and Total Assets. The procedural mechanics of calculating period-end expirations and recording multi-step **Adjusting Journal Entries** (e.g., Asset Method vs. Expense Method for prepayments, Liability Method vs. Income Method for unearned revenues, and reversing entries) will be systematically and rigorously mastered in **subsequent units (specifically Unit 4: Adjusting Entries & The Complete Accounting Cycle)**.*

OWNER'S EQUITY

The residual interest in the assets of the entity after deducting all its liabilities. Owner's net worth in the business.

$$\text{Assets} - \text{Liabilities} = \text{Owner's Equity}$$

BASIC ACCOUNTING EQUATION

$$\begin{aligned} \text{Resources} &= \text{Claims on Resources} \\ \text{Assets} &= \text{Liabilities} + \text{Owner's Equity} \\ \text{A} &= \text{L} + \text{OE} \end{aligned}$$

Master Computational Formulas & Departmental Problem-Solving Bank

Every computational problem in departmental quizzes derives from the systematic equations below:

Target Metric	Applicable Mathematical Formula & Exclusion Rules
1. Total Current Assets (TCA)	TCA = Cash & Cash Equivalents + Accounts Receivable (net) + Notes Receivable (current) + Interest Receivable + Merchandise Inventory + Prepaid Expenses + Supplies on Hand + Accrued Revenue + Advances to Employees + Advances to Suppliers Exclusions: Never include Equipment, Vehicles, Furniture, Land, Buildings, or Long-term notes!
2. Total Non-Current Assets (TNCA)	TNCA = Land + Buildings (net) + Equipment (net) + Delivery Vehicles (net) + Furniture & Fixtures (net) + Long-Term Receivables <i>Cost Principle: Land and PPE are recorded at historical cost. Appraisals and purchase offers are strictly ignored!</i>
3. Total Current Liabilities (TCL)	TCL = Accounts Payable + Notes Payable (due ≤ 1 yr) + Accrued Salaries/Utilities/Interest + Unearned Revenues + Advances from Customers + Bank Overdrafts
4. Total Liabilities (TL)	Total Liabilities = Total Current Liabilities + Long-Term Notes Payable + Mortgage Payable + Bonds Payable
5. Working Capital & Current Ratio	Working Capital = Total Current Assets – Total Current Liabilities Current Ratio = Total Current Assets / Total Current Liabilities • When CR > 1.0: Paying CL with cash <i>increases</i> CR. Purchasing inventory on credit <i>decreases</i> CR. • When CR < 1.0: Paying CL with cash <i>decreases</i> CR.
6. Missing Expenses Formula (Item 125 Master Pattern)	Total Expenses = Total Revenues – Net Income where Net Income = Ending Equity – Beginning Equity – Additional Investments + Owner's Drawings <i>Worked Example (Item 125):</i> Initial Inv Php 120,000; Drawings Php 100,000; Ending Equity Php 140,000; Revenues Php 800,000. 1. Net Income = Php 140,000 – Php 120,000 + Php 100,000 = Php 120,000 . 2. Total Expenses = Php 800,000 – Php 120,000 = Php 680,000 .
7. Missing Drawings & Beg Equity	Drawings = Beginning Equity + Investments + Net Income – Ending Equity Beginning Equity = Ending Equity – Investments – Net Income + Drawings

8. Ratio Multipliers	- If Liabilities = 40% of Assets → Equity = 60% of Assets → Total Assets = Equity / 0.60. - If Equity = 1/3 of Assets → Liabilities = 2/3 of Assets = 2 × Equity.
9. Accrual Revenue Determination	Service Revenue = Cash Collections for Current Period Services + Uncollected Billed AR (Exclude advance unearned collections!)

3.2 Statement of Financial Performance [Statement of Profit or Loss]

Definition	A change statement that summarizes the profit-generating transactions changing owner's equity for the period and reports financial performance (net profit or loss).
Usefulness	Assesses profitability, operational efficiency, return on investment, and predicts future operating cash flows.

IFRS 18 Standard Architecture: The Three Operating Categories

- **Operating Category:** Default category comprising all income and expenses arising from main and ancillary operations, regardless of whether volatile or unusual.
- **Investing Category:** Income and expenses from investments in associates, cash & cash equivalents, and assets generating return independently (dividends, interest on debt investments).
- **Financing Category:** Income and expenses from liabilities involving the raising of finance (bank loan interest expense, bonds payable charges).

Line Item	Amount (Php)	IFRS 18 Category
Service Revenue / Net Sales	xxx	Operating
Less: Operating Expenses (Salaries, Rent, Supplies, Utilities)	(xxx)	Operating
Operating Profit (Loss) [Mandatory Subtotal 1]	xxx	Operating Category Total
Add: Interest income from cash equivalents / investments	xxx	Investing
Profit (Loss) Before Financing and Income Taxes [Subtotal 2]	xxx	Operating + Investing
Less: Interest expense on financing liabilities	(xxx)	Financing
Profit (Loss) for the Period [Net Profit / Net Loss]	xxx	Final Net Income Transfer

3.3 Statement of Changes in Owner's Equity (SOE)

A change statement disclosing all transactions affecting owner's capital during the period.

$$\text{Ending Capital} = \text{Beginning Capital} + \text{Additional Investments} + \text{Net Income} - \text{Owner's Drawings}$$

Investments of non-cash assets are recorded at Fair Market Value at time of investment.

EXPANDED ACCOUNTING EQUATION

$$\text{Assets} = \text{Liabilities} + [\text{Beginning Capital} + \text{Additional Investments} + (\text{Revenues} - \text{Expenses}) - \text{Drawings}]$$

3.4 Statement of Cash Flows (SCF)

A change statement disclosing events that caused physical cash to change, grouped into:

- **Operating Activities:** Cash from revenue collections, payments for operating expenses, supplier payments.
- **Investing Activities:** Cash paid to acquire PPE assets; cash received from sale of long-term investments.
- **Financing Activities:** Cash investments by owner, bank borrowings, cash withdrawals by owner.

Note: Detailed cash flow reporting mechanics are covered in Unit 4.9.

3.5 Notes to Financial Statements & Required Presentation Sequence

Notes provide essential qualitative narratives, disaggregations, and accounting policies (PAS 1 sequence):

- **Note 1 (General Information):** Company domicile, legal form, country of incorporation, registered office.

- **Note 2 (Summary of Significant Accounting Policies):** Measurement bases (historical cost), depreciation formulas.
 - **Note 3 (Supporting Schedules):** Disaggregations of line items on SFP, SPL, SOE, and SCF.
 - **Note 4 (Other Disclosures):** Contingencies, contractual commitments, and non-adjusting events after reporting period.
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PART II: UNIT 3 OFFICIAL EXAMINATION & REINFORCEMENT TEST BANK

Complete Official Questions, Validated Solutions, and Step-by-Step Mathematical Rationales

CANVAS U3 ASSESSMENT BATTERY

Item 48 [u3-q1] | Question 1 - Unit 3 Canvas Quiz - 1 pt

Financial statements provide information about business activities to decision-makers.

True

False

Solution / Rationale: True. Financial statements are general-purpose structured summaries conveying economic resources, claims, and operating performance to assist external and internal users in making resource allocation decisions.

Item 49 [u3-q2] | Question 2 - Unit 3 Canvas Quiz - 1 pt

The Statement of Financial Position lists all the entity's assets, liabilities, and owner's equity as of a specific date.

True

False

Solution / Rationale: True. The Statement of Financial Position (Balance Sheet) is a snapshot of financial condition at a single moment in time (e.g., 'As of December 31, 2026').

Item 50 [u3-q3] | Question 3 - Unit 3 Canvas Quiz - 1 pt

In order to possess future service potential, an asset must have physical substance.

True

False

Solution / Rationale: False. Many valuable assets lack physical substance, such as Accounts Receivable, Notes Receivable, Copyrights, Patents, Franchises, and Software Licenses (Intangible Assets).

Item 51 [u3-q4] | Question 4 - Unit 3 Canvas Quiz - 1 pt

Owner's equity is often referred to as capital and represents the residual amount of business assets that can be claimed by the owner.

True

False

Solution / Rationale: True. Under the IFRS Conceptual Framework, Equity is defined as the residual interest in the assets of the entity after deducting all its liabilities ($\text{Assets} - \text{ext}\{\text{Liabilities}\} = \text{ext}\{\text{Owner's Equity}\}$).

Item 52 [u3-q5] | Question 5 - Unit 3 Canvas Quiz - 1 pt

The basic accounting equation is in balance when the creditor and ownership claims against the business equal the assets.

True

False

Solution / Rationale: True. $\text{Total Assets} = \text{Creditor Claims (Liabilities)} + \text{Ownership Claims (Owner's Equity)}$. Economic resources equal the claims against those resources.

Item 53 [u3-q6] | Question 6 - Unit 3 Canvas Quiz - 1 pt

A Statement of Profit or Loss is dated for a period of time such as 'Year Ended December 31, 2023.'

True

False

Solution / Rationale: True. Unlike the balance sheet which is a static point-in-time snapshot, the income statement (SPL) measures operational performance over a period of time.

Item 54 [u3-q7] | Question 7 - Unit 3 Canvas Quiz - 1 pt

The Statement of Profit or Loss must be prepared before the Statement of Owner's Equity.

True

False

Solution / Rationale: True. Net Income (or Net Loss) calculated on the Statement of Profit or Loss is a direct mathematical input required to determine Ending Capital on the Statement of Changes in Owner's Equity.

Item 55 [u3-q8] | Question 8 - Unit 3 Canvas Quiz - 1 pt

The Statement of Cash Flows shows how much the cash account either increased or decreased.

- True
False

Solution / Rationale: True. The Statement of Cash Flows details all cash inflows and outflows across Operating, Investing, and Financing activities to reconcile the net change in the Cash account.

Item 56 [u3-q9] | Question 9 - Unit 3 Canvas Quiz - 1 pt

Net income for the period is determined by subtracting total expenses and drawings from total revenues.

- True
False

Solution / Rationale: False. Net Income is strictly Revenues - Expenses. Owner's Drawings are personal distributions of capital, reported on the Statement of Changes in Owner's Equity, NOT an operating expense on the SPL!

Item 57 [u3-q10] | Question 10 - Unit 3 Canvas Quiz - 1 pt

In the Statement of Owner's Equity, revenues are listed first, followed by expenses.

- True
False

Solution / Rationale: False. The Statement of Owner's Equity begins with Beginning Capital, adds Additional Investments and Net Income, and subtracts Owner's Drawings. Revenues and expenses are presented on the Statement of Profit or Loss.

Item 58 [u3-q11] | Question 11 - Unit 3 Canvas Quiz - 1 pt

The common characteristic possessed by all assets is that they possess future economic benefit or service potential.

- True
False

Solution / Rationale: True. Under the IFRS Conceptual Framework, an asset is a present economic resource controlled by the entity as a result of past events, where an economic resource is a right that has the potential to produce future economic benefits.

Item 59 [u3-q12] | Question 12 - Unit 3 Canvas Quiz - 1 pt

Current assets are presented in the Statement of Financial Position according to liquidity.

- True
False

Solution / Rationale: True. In Philippine and international practice, current assets are traditionally listed in descending order of liquidity: Cash, Short-term Receivables, Supplies, Prepaid Expenses.

Item 60 [u3-q13] | Question 13 - Unit 3 Canvas Quiz - 1 pt

Liabilities represent existing debts and present obligations to transfer economic resources.

- True
False

Solution / Rationale: True. A liability is a present legal or constructive obligation of the entity to transfer an economic resource as a result of past events.

Item 61 [u3-q14] | Question 14 - Unit 3 Canvas Quiz - 1 pt

Liabilities:

- A) are existing debts and obligations. [CORRECT ANSWER]**
B) are future economic benefits.
C) possess service potential.
D) are things of value used by the business in its operation.

Solution / Rationale: Liabilities are existing debts and obligations arising from past transactions to outside creditors.

Item 62 [u3-q15] | Question 15 - Unit 3 Canvas Quiz - 1 pt

Statement of Financial Position format that presents assets on the left side and liabilities and owner's equity on the right side:

A) Account form [CORRECT ANSWER]

- B) Report form
- C) Natural form
- D) Functional form

Solution / Rationale: The Account form mirrors the classic T-account, displaying Assets on the left and Liabilities & Equity on the right. The Report form lists them in a vertical column.

Item 63 [u3-q16] | Question 16 - Unit 3 Canvas Quiz - 1 pt

A formal written promise for future collections of cash is a(n):

A) note receivable. [CORRECT ANSWER]

- B) account receivable.
- C) prepaid asset.
- D) owner withdrawal.

Solution / Rationale: A Note Receivable is a formal written promissory note stating a promise to pay a definite sum of money with interest on a specified maturity date.

Item 64 [u3-q17] | Question 17 - Unit 3 Canvas Quiz - 1 pt

The amount owed by an entity when it makes a purchase on account is termed a(n):

A) accounts payable. [CORRECT ANSWER]

- B) accounts receivable.
- C) note receivable.
- D) note payable.

Solution / Rationale: Accounts Payable represents short-term obligations owed to trade suppliers for goods or services purchased on open credit (on account).

Item 65 [u3-q18] | Question 18 - Unit 3 Canvas Quiz - 1 pt

A liability evidenced with a collateral of an asset:

A) Mortgage Payable [CORRECT ANSWER]

- B) Accounts Payable
- C) Loans Payable
- D) Notes Payable

Solution / Rationale: A Mortgage Payable is a long-term debt backed by a specific pledge of tangible real estate or building assets as collateral security.

Item 66 [u3-q19] | Question 19 - Unit 3 Canvas Quiz - 1 pt

Owner's equity can be described as:

A) ownership claim on total assets. [CORRECT ANSWER]

- B) creditorship claim on total assets.
- C) benefactor's claim on total assets.
- D) debtor claim on total assets.

Solution / Rationale: Owner's equity represents the residual ownership claim against total business assets after all third-party creditor obligations are satisfied.

Item 67 [u3-q20] | Question 20 - Unit 3 Canvas Quiz - 1 pt

The basic accounting equation may be expressed as follows EXCEPT:

A) Assets = Liabilities - Owner's Equity [CORRECT ANSWER]

- B) Assets = Equities
- C) Assets - Liabilities = Owner's Equity
- D) Assets = Liabilities + Owner's Equity

Solution / Rationale: Assets equal Liabilities PLUS Owner's Equity. Stating Assets = Liabilities - Owner's Equity is mathematically incorrect!

Item 68 [u3-q21] | Question 21 - Unit 3 Canvas Quiz - 1 pt

Revenues would NOT result from:

- A) initial investment of cash by owner. [CORRECT ANSWER]**
- B) sale of merchandise.
- C) performance of services.
- D) rental of property.

Solution / Rationale: Owner investments increase Cash and Owner's Capital directly. Revenues arise solely from primary operating activities (services rendered, merchandise sold, rent earned).

Item 69 [u3-q22] | Question 22 - Unit 3 Canvas Quiz - 1 pt

Expenses are recorded when:

- A) incurred even if not yet paid. [CORRECT ANSWER]**
- B) incurred and must be paid.
- C) paid.
- D) earned even if not yet paid.

Solution / Rationale: Under accrual accounting, expenses are recognized in the period when assets are consumed or services utilized (incurred), regardless of when cash is disbursed.

Item 70 [u3-q23] | Question 23 - Unit 3 Canvas Quiz - 1 pt

Capital is:

- A) an owner's permanent investment in the business. [CORRECT ANSWER]**
- B) equal to liabilities minus owner's equity.
- C) equal to assets minus owner's equity.
- D) equal to liabilities plus drawings.

Solution / Rationale: In sole proprietorship accounting, Capital represents the owner's permanent equity stake and accumulated retained wealth in the enterprise.

Item 71 [u3-q24] | Question 24 - Unit 3 Canvas Quiz - 1 pt

When an owner takes cash or other assets from a business for personal use, these withdrawals are termed:

- A) drawings. [CORRECT ANSWER]**
- B) depletions.
- C) expenses.
- D) consumptions.

Solution / Rationale: Personal distributions of business assets to proprietors are recorded in Owner's Drawings (or Capital Distributions), directly reducing equity.

Item 72 [u3-q25] | Question 25 - Unit 3 Canvas Quiz - 1 pt

The financial statement that presents a summary of the assets, liabilities, and owner's equity as of a specific date:

- A) Statement of Financial Position [CORRECT ANSWER]**
- B) Statement of Assets
- C) Statement of Owner's Equity
- D) Statement of Cash Flows

Solution / Rationale: The Statement of Financial Position (Balance Sheet) provides the formal snapshot of assets, liabilities, and equity at a specific point in time.

Item 73 [u3-q26] | Question 26 - Unit 3 Canvas Quiz - 1 pt

The Statement of Profit or Loss presents a summary of the:

- A) cash inflows and outflows of an entity.
- B) revenues and expenses of an entity. [CORRECT ANSWER]**
- C) assets and liabilities of an entity.
- D) changes that occurred in the owner's equity of an entity.

Solution / Rationale: The Statement of Profit or Loss (Income Statement) summarizes all revenues earned and expenses incurred over the accounting period to determine net income or net loss.

Item 74 [u3-q27] | Question 27 - Unit 3 Canvas Quiz - 1 pt

Which of the following financial statements reports owner's equity as of the end of the accounting period?

- A) Statement of Owner's Equity and the Statement of Financial Position [CORRECT ANSWER]**
- B) Statement of Profit or Loss and the Statement of Financial Position
- C) Statement of Cash Flows and the Statement of Financial Position
- D) Statement of Cash Flows and the Statement of Profit or Loss

Solution / Rationale: Ending Owner's Equity is calculated on the Statement of Owner's Equity and subsequently carried over to balance the Statement of Financial Position.

Item 75 [u3-q28] | Question 28 - Unit 3 Canvas Quiz - 1 pt

Assets and liabilities are reported on the:

- A) Statement of Financial Position. [CORRECT ANSWER]**
- B) Statement of Profit or Loss.
- C) Statement of Profit or Loss and Statement of Financial Position.
- D) Statement of Owner's Equity.

Solution / Rationale: Economic resources (Assets) and claims of creditors (Liabilities) are reported strictly on the Statement of Financial Position.

Item 76 [u3-q29] | Question 29 - Unit 3 Canvas Quiz - 1 pt

Cash investments by the owner are reported on the:

- A) Statement of Cash Flows. [CORRECT ANSWER]**
- B) Statement of Financial Position.
- C) Statement of Profit or Loss.
- D) Statement of Profit or Loss and the Statement of Financial Position.

Solution / Rationale: Cash investments by the proprietor are reported as Financing Activities on the Statement of Cash Flows (and also on the Statement of Owner's Equity).

Item 77 [u3-q30] | Question 30 - Unit 3 Canvas Quiz - 1 pt

All are TRUE about the Notes to Financial Statements EXCEPT:

- A) disclose all information including those that can give competitive advantage to competitors. [CORRECT ANSWER]**
- B) disclose the information required by IFRSs that is not presented elsewhere in the financial statements.
- C) present information about the basis of preparation of the financial statements and the specific accounting policies used.
- D) provide information that is not presented elsewhere in the financial statements but is relevant to an understanding of any of them.

Solution / Rationale: Financial reporting standards do NOT require companies to surrender trade secrets or competitive advantages to rivals! Notes disclose accounting policies, contingencies, and disaggregated schedules.

Item 78 [u3-q31] | Question 31 - Unit 3 Canvas Quiz - 2 pts

If owner's equity is Php 135,000 and total liabilities are Php 90,000, then total assets would be:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Assets = Total Liabilities + Owner's Equity = Php 90,000 + Php 135,000 = Php 225,000.

Item 79 [u3-q32] | Question 32 - Unit 3 Canvas Quiz - 2 pts

Owner's equity and total assets were Php 32,000 and Php 79,000 at the beginning of the period. Assets increased 50% and liabilities decreased 60% during the period. The owner's equity at the end of the period is:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Liabilities_{beg} = Php 79,000 - Php 32,000 = Php 47,000.
 2. Assets_{end} = Php 79,000 x 1.50 = Php 118,500.
 3. Liabilities_{end} = Php 47,000 x (1 - 0.60) = Php 18,800.
 4. Owner's Equity_{end} = Php 118,500 - Php 18,800 = Php 99,700.

Item 80 [u3-q33] | Question 33 - Unit 3 Canvas Quiz - 2 pts

If total liabilities decrease by Php 22,000 and owner's equity increases by Php 8,000 during the period, then assets must have decreased by:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Delta Assets = Delta Liabilities + Delta Owner's Equity = -Php 22,000 + Php 8,000 = -Php 14,000. Assets decreased by Php 14,000.

Item 81 [u3-q34] | Question 34 - Unit 3 Canvas Quiz - 2 pts

On December 31, the assets of a business include Cash Php 3,500, Accounts Receivable Php 14,000, and Supplies Php 1,050. The liabilities on December 31 total Php 7,600. The owner's equity on December 31 is:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Total Assets = Php 3,500 + Php 14,000 + Php 1,050 = Php 18,550.
2. Owner's Equity = Assets - Liabilities = Php 18,550 - Php 7,600 = Php 10,950.

Item 82 [u3-q35] | Question 35 - Unit 3 Canvas Quiz - 2 pts

Beginning owner's equity is Php 20,000, cash withdrawals by the owner amount to Php 7,000, and ending owner's equity is Php 37,000. Net income for the period is:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Ending Equity = Beginning Equity + Net Income - Withdrawals
Php 37,000 = Php 20,000 + Net Income - Php 7,000
Php 37,000 = Php 13,000 + Net Income $\Rightarrow$ Net Income = Php 24,000.

Item 83 [u3-q36] | Question 36 - Unit 3 Canvas Quiz - 2 pts

Net income is Php 34,000, beginning owner's equity is Php 29,000, and ending owner's equity is Php 45,000. Owner's withdrawals for the period is:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Ending Equity = Beginning Equity + Net Income - Withdrawals
Php 45,000 = Php 29,000 + Php 34,000 - Withdrawals
Php 45,000 = Php 63,000 - Withdrawals $\Rightarrow$ Withdrawals = Php 18,000.

Item 84 [u3-q37] | Question 37 - Unit 3 Canvas Quiz - 2 pts

Total assets at the end of the period were Php 325,000 and liabilities were 40% of owner's equity. Owner's equity at the end of the period is: (Encode rounded to nearest whole number)

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Assets = Liabilities + Owner's Equity
Liabilities = 0.40 x Owner's Equity
Php 325,000 = 0.40OE + 1.00OE = 1.40OE
OE = Php 325,000 / 1.40 = Php 232,143 (exact: Php 232,142.86).

Item 85 [u3-q38] | Question 38 - Unit 3 Canvas Quiz - 2 pts

A company has Net income = Php 55,000, Ending equity = Php 85,000, Beginning equity = Php 49,000, Withdrawals = Php 12,600, and Revenue = Php 96,000. Total expenses for the current period amounted to:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Net Income = Revenues - Expenses
Php 55,000 = Php 96,000 - Expenses $\Rightarrow$ Expenses = Php 96,000 - Php 55,000 = Php 41,000.

Item 86 [u3-q39] | Question 39 - Unit 3 Canvas Quiz - 2 pts

A company has the following account balances: Accounts receivable Php 9,000, Accounts payable Php 4,200, Service revenue Php 25,550, Furniture Php 4,000, Rent expense Php 4,500, Note payable Php 3,800, Supplies Php 900, Beginning capital Php 30,000, Salary expense Php 9,650, and Cash Php 18,500. Total Current Assets amounted to:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Current Assets include only assets convertible to cash within 12 months:
Cash (Php 18,500) + Accounts Receivable (Php 9,000) + Supplies (Php 900) = Php 28,400.
(Note: Furniture is a Non-Current PPE asset; AP and Note Payable are Liabilities; Revenues/Expenses belong on the SPL).

Item 87 [u3-q40] | Question 40 - Unit 3 Canvas Quiz - 2 pts

A company purchased farmland 8 years ago for Php 670,000. It was recently appraised for Php 1,370,000. The owner received a purchase offer for Php 1,220,000, and a similar parcel 2 blocks away sold for Php 1,300,000. The land should be reported in its Statement of Financial Position at:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Under the Historical Cost Principle, land must remain reported at its actual acquisition cash exchange price of Php 670,000. Appraisals and unsolicited offers are subjective and cannot replace verifiable transaction cost.

Item 88 [u3-q41] | Question 41 - Unit 3 Canvas Quiz - 2 pts

For Aim High Services: Rental paid Sept 2022 in advance for 3 months (Oct-Dec 2022). Rent consumed during Dec 2022 is Php 7,200. Rental paid Dec 2022 in advance for Jan-Mar 2023 for Php 22,500. Supplies purchased Dec 1, 2022 for Php 650; supplies on hand Dec 31, 2022 was Php 100. Paid the Nov electricity bill on Dec 10, 2022 for Php 5,000. Total expense pertaining to December 2022 is:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Accrual expense analysis for December 2022:

1. Rent consumed in Dec: Php 7,200.
 2. Supplies consumed in Dec: $\text{Php } 650 - \text{Php } 100 = \text{Php } 550$.
 3. Advance rent paid for 2023 (Php 22,500) is a Prepaid Asset, not a Dec expense.
 4. Nov electricity paid Dec 10 (Php 5,000) is the settlement of a Nov accrued liability, not a Dec expense.
- Total Dec 2022 Expense = $\text{Php } 7,200 + \text{Php } 550 = \text{Php } 7,750$.

Item 89 [u3-q42] | Question 42 - Unit 3 Canvas Quiz - 2 pts

[Aim High Services Case] Account balances on Dec 31, 2023: AR Php 15,000; AP Php 5,700; Salary exp Php 4,500; Repairs exp Php 800; Equipment Php 14,800; Notes payable Php 8,200; Cash Php 6,800; Supplies exp Php 1,600; Service income Php 12,800; Gasoline exp Php 800. Owner invested Php 22,600 at beg of year and withdrew Php 5,000. The Net Income or Loss for 2023 was:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Service Income: Php 12,800.

Operating Expenses: Salary (Php 4,500) + Repairs (Php 800) + Supplies exp (Php 1,600) + Gasoline (Php 800) = Php 7,700.

Net Income = $\text{Php } 12,800 - \text{Php } 7,700 = \text{Php } 5,100$.

Item 90 [u3-q43] | Question 43 - Unit 3 Canvas Quiz - 2 pts

[Aim High Services Case] Total Assets at year-end December 31, 2023 amounted to:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Assets = Cash (Php 6,800) + Accounts Receivable (Php 15,000) + Equipment (Php 14,800) = Php 36,600.

Item 91 [u3-q44] | Question 44 - Unit 3 Canvas Quiz - 2 pts

[Aim High Services Case] Owner's Equity at year-end December 31, 2023 amounted to:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Ending Equity = Beginning Capital (Php 22,600) + Net Income (Php 5,100) - Drawings (Php 5,000) = Php 22,700.

Item 92 [u3-q45] | Question 45 - Unit 3 Canvas Quiz - 2 pts

[Aim High Services Case] Total Liabilities at year-end December 31, 2023 amounted to:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Liabilities = Accounts Payable (Php 5,700) + Notes Payable (Php 8,200) = Php 13,900.

(Check: Assets Php 36,600 = Liabilities Php 13,900 + Equity Php 22,700. Perfectly balances!)

REINF U3 ASSESSMENT BATTERY

Item 334 [reinf-u3-01] | Reinforcement 3.1: Five Primary Financial Statements - 1 pt

What are the primary financial statements that constitute a complete set of financial reports for a sole proprietorship?

- A) Sales Invoice, Purchase Order, Bill of Lading, and Cash Voucher
- B) Statement of Financial Position, Statement of Profit or Loss, Statement of Changes in Owner's Equity, Statement of Cash Flows, and Notes to Financial Statements [CORRECT ANSWER]**
- C) General Journal, General Ledger, Cash Receipts Journal, and Trial Balance
- D) Income Tax Return, Business Permit, and BIR Certificate of Registration

Solution / Rationale: Correct Answer: B.

A complete set of financial statements includes: (1) Statement of Financial Position, (2) Statement of Profit or Loss, (3) Statement of Changes in Owner's Equity, (4) Statement of Cash Flows, and (5) Notes to Financial Statements.

Item 335 [reinf-u3-02] | Reinforcement 3.2: Dating Convention: Snapshot vs. Period Flow - 1 pt

Which primary financial statement is dated as of a specific point in time (e.g. 'As of December 31, 2026') rather than for a period of time?

- A) Statement of Profit or Loss
- B) Statement of Financial Position (Balance Sheet) [CORRECT ANSWER]**
- C) Statement of Changes in Owner's Equity
- D) Statement of Cash Flows

Solution / Rationale: Correct Answer: B.

The Statement of Financial Position is a snapshot of financial condition as of a specific calendar date ('As of December 31, 2026'). The SPL, SOE, and SCF report activities over a period of time ('For the Year Ended...').

Item 336 [reinf-u3-03] | Reinforcement 3.3: Report Form vs. Account Form SFP - 1 pt

Which statement correctly describes the difference between the 'Report Form' and the 'Account Form' of the Statement of Financial Position?

- A) In the Report Form, assets are on the left and liabilities are on the right; in the Account Form, everything is listed vertically.
- B) In the Report Form, assets, liabilities, and owner's equity are presented in a continuous vertical cascade; in the Account Form, assets appear on the left and liabilities and equity appear on the right (mirroring the equation $A = L + OE$). [CORRECT ANSWER]**
- C) The Report Form is prepared only for government agencies, while the Account Form is used only for banks.
- D) The Account Form includes only revenues and expenses.

Solution / Rationale: Correct Answer: B.

The Report Form presents assets, liabilities, and equity in a continuous downward vertical format. The Account Form presents assets on the left side and liabilities and equity on the right side.

Item 337 [reinf-u3-04] | Reinforcement 3.4: Statement Articulation: Profit to Equity - 1 pt

How does the bottom-line Net Income from the Statement of Profit or Loss flow into the other financial statements?

- A) It flows into the Statement of Changes in Owner's Equity as an addition to owner's capital, which then determines ending equity on the Statement of Financial Position. [CORRECT ANSWER]**
- B) It flows directly into the cash receipts journal.
- C) It is deducted from total liabilities on the Statement of Financial Position.
- D) It is added to accumulated depreciation on non-current assets.

Solution / Rationale: Correct Answer: A.

Net Income from the Statement of Profit or Loss flows into the Statement of Changes in Owner's Equity, increasing ending capital, which is then reported under Owner's Equity on the Statement of Financial Position.

Item 338 [reinf-u3-05] | Reinforcement 3.5: Statement Articulation: Cash Flow to Balance Sheet - 1 pt

The bottom-line 'Cash at End of Year' reported on the Statement of Cash Flows must mathematically equal which item?

- A) The Cash balance reported under Current Assets on the Statement of Financial Position as of the same year-end date [CORRECT ANSWER]**
- B) Total Net Income for the year on the Statement of Profit or Loss
- C) Total Owner's Drawings on the Statement of Changes in Equity
- D) Total Accounts Payable on the balance sheet

Solution / Rationale: Correct Answer: A.

The ending cash balance on the Statement of Cash Flows must reconcile exactly to the Cash balance reported under Current Assets on the Statement of Financial Position.

Item 339 [reinf-u3-06] | Reinforcement 3.6: Purpose of the Statement of Cash Flows - 1 pt

What is the primary objective of the Statement of Cash Flows?

- A) To calculate the enterprise's corporate income tax bracket.
- B) To list the names of all corporate suppliers.
- C) To record employee attendance.
- D) To provide relevant information about the actual cash receipts and cash payments of an enterprise during a period, categorized into operating, investing, and financing activities. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

The Statement of Cash Flows reports how physical cash was generated and disbursed across Operating, Investing, and Financing activities, explaining the net change in cash.

Item 340 [reinf-u3-07] | Reinforcement 3.7: Three Cash Flow Activity Categories - 1 pt

Which of the following cash transactions is classified as an INVESTING activity on the Statement of Cash Flows?

- A) Cash collected from customers for laundry services rendered (Operating)
- B) Additional cash investment by the owner (Financing)
- C) Cash paid to purchase office equipment and delivery vehicles (Investing) [CORRECT ANSWER]**
- D) Cash withdrawn by the owner for personal living expenses (Financing)

Solution / Rationale: Correct Answer: C.

Investing activities include cash paid to acquire long-term productive assets (Property, Plant, and Equipment) and cash received from the sale of plant assets and long-term investments.

Item 341 [reinf-u3-08] | Reinforcement 3.8: Financing Cash Flow Identification - 1 pt

Which transaction is classified under FINANCING activities on the Statement of Cash Flows of a sole proprietorship?

- A) Cash withdrawals made by the owner for personal use [CORRECT ANSWER]**
- B) Cash paid to utility companies for monthly electricity
- C) Cash collections from customer accounts receivable
- D) Cash paid to buy office supplies

Solution / Rationale: Correct Answer: A.

Financing activities involve transactions with capital providers and lenders: cash investments by the owner, bank borrowings, loan repayments, and owner withdrawals (drawings).

Item 342 [reinf-u3-09] | Reinforcement 3.9: Operating Cash Flow Identification - 1 pt

Which transaction is classified under OPERATING activities on the Statement of Cash Flows?

- A) Cash paid to purchase a parcel of land
- B) Cash received from signing a 5-year bank mortgage note
- C) Cash paid to employees for wages and cash collected from clients for services [CORRECT ANSWER]**
- D) Cash invested by a new business partner

Solution / Rationale: Correct Answer: C.

Operating activities involve the principal revenue-generating activities of the entity: collecting cash from customers and paying operating expenses (salaries, utilities, rent, suppliers).

Item 343 [reinf-u3-10] | Reinforcement 3.10: Role of Notes to Financial Statements - 1 pt

Which of the following is TRUE regarding the Notes to Financial Statements?

- A) They are optional marketing materials that may be discarded by the reader.
- B) They form an integral part of the financial statements, providing essential descriptions of accounting policies, contingent liabilities, and detailed supporting schedules. [CORRECT ANSWER]**
- C) They list the personal home addresses of all corporate clients.
- D) They are prepared only when an enterprise incurs a net loss.

Solution / Rationale: Correct Answer: B.

The Notes to Financial Statements are an integral part of the financial statements: they explain measurement bases, accounting policies, debt terms, and disaggregate statement line items.

Item 344 [reinf-u3-11] | Reinforcement 3.11: Definition of an Asset (Conceptual Framework) - 1 pt

Under the IFRS Conceptual Framework, an 'Asset' is defined as:

- A) A present legal debt owed to a supplier resulting from past purchases.
- B) The residual interest in the entity after deducting all liabilities.
- C) A present economic resource controlled by the entity as a result of past events. [CORRECT ANSWER]**
- D) Total cash sales collected during the year.

Solution / Rationale: Correct Answer: C.

An Asset is 'a present economic resource controlled by the entity as a result of past events.' An economic resource is a right that has the potential to produce economic benefits.

Item 345 [reinf-u3-12] | Reinforcement 3.12: Criteria for Current Assets - 1 pt

An asset is classified as a 'Current Asset' on the Statement of Financial Position if it satisfies which condition?

- A) It has physical substance and will be used for at least 10 years.
- B) It is expected to be realized in cash, sold, or consumed within the entity's normal operating cycle or within 12 months after the reporting period, or is cash/cash equivalent. [CORRECT ANSWER]**
- C) It cannot be sold under Philippine law.
- D) It represents long-term mortgage obligations.

Solution / Rationale: Correct Answer: B.

An asset is a Current Asset if it is: (1) expected to be realized, sold, or consumed in the normal operating cycle, (2) held primarily for trading, (3) expected to be realized within 12 months, or (4) cash/cash equivalent.

Item 346 [reinf-u3-13] | Reinforcement 3.13: Identification of Current Assets - 1 pt

Which of the following combinations consists EXCLUSIVELY of Current Assets?

- A) Cash, Accounts Receivable, Office Supplies, and Prepaid Rent [CORRECT ANSWER]**
- B) Cash, Delivery Truck, Land, and Accounts Payable
- C) Office Equipment, Building, Notes Receivable, and Owner's Capital
- D) Merchandise Inventory, Machinery, Salaries Expense, and Patent

Solution / Rationale: Correct Answer: A.

Cash, Accounts Receivable, Supplies, and Prepaid Rent are all resources expected to be realized in cash or consumed within 12 months, making them Current Assets.

Item 347 [reinf-u3-14] | Reinforcement 3.14: Non-Current Assets (PPE) Presentation - 1 pt

Which asset is classified as a Non-Current Asset and is NOT subject to depreciation?

- A) Land held for business operations [CORRECT ANSWER]**
- B) Office Computer Equipment
- C) Delivery Motorcycle
- D) Commercial Office Building

Solution / Rationale: Correct Answer: A.

Land has an unlimited useful life and does not wear out or depreciate. Buildings, equipment, and vehicles are depreciable PPE assets.

Item 348 [reinf-u3-15] | Reinforcement 3.15: Carrying Value (Net Book Value) of PPE - 1 pt

An entity owns office equipment with a historical acquisition cost of Php 100,000 and an Accumulated Depreciation balance of Php 35,000. What is the net Carrying Value (Book Value) reported on the balance sheet?

- A) Php 135,000
- B) Php 100,000
- C) Php 35,000
- D) Php 65,000 [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Carrying Value (Net Book Value) = Historical Cost (Php 100,000) - Accumulated Depreciation (Php 35,000) = Php 65,000.

Item 349 [reinf-u3-16] | Reinforcement 3.16: Definition of a Liability - 1 pt

Under the IFRS Conceptual Framework, a 'Liability' is defined as:

- A) Cash invested by corporate shareholders.
- B) Future economic benefits controlled by the entity.
- C) An optional gift to be given to employees next Christmas.
- D) A present obligation of the entity to transfer an economic resource as a result of past events. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

A Liability is 'a present obligation of the entity to transfer an economic resource as a result of past events.' An obligation is a duty or responsibility that the entity has no practical ability to avoid.

Item 350 [reinf-u3-17] | Reinforcement 3.17: Criteria for Current Liabilities - 1 pt

Which of the following obligations is classified as a 'Current Liability' on the Statement of Financial Position?

- A) Trade Accounts Payable due within 30 days and accrued salaries owed to employees for the current month [CORRECT ANSWER]**
- B) A 10-year bank mortgage loan payable
- C) Owner's permanent investment capital
- D) A 15-year bond payable

Solution / Rationale: Correct Answer: A.

Current Liabilities are obligations expected to be settled in the normal operating cycle or due within 12 months (e.g. Accounts Payable, Accrued Salaries, Short-term Notes).

Item 351 [reinf-u3-18] | Reinforcement 3.18: Non-Current Liabilities Identification - 1 pt

Which liability is classified as a Non-Current Liability on the Statement of Financial Position?

- A) Utilities Payable due next week
- B) Mortgage Payable secured by real estate, maturing in 5 years [CORRECT ANSWER]**
- C) Unearned Service Revenue for classes next month
- D) Accounts Payable owed to office suppliers

Solution / Rationale: Correct Answer: B.

A Mortgage Payable maturing in 5 years is a long-term debt due beyond 12 months, classifying it as a Non-Current Liability.

Item 352 [reinf-u3-19] | Reinforcement 3.19: Working Capital Calculation - 1 pt

An enterprise reports Total Current Assets of Php 350,000 and Total Current Liabilities of Php 150,000. What is its Working Capital?

- A) Php 500,000
- B) Php 2.33
- C) Php 200,000 [CORRECT ANSWER]**
- D) Php 150,000

Solution / Rationale: Correct Answer: C.

Working Capital = Total Current Assets (Php 350,000) - Total Current Liabilities (Php 150,000) = Php 200,000.

Item 353 [reinf-u3-20] | Reinforcement 3.20: Current Ratio Computation - 1 pt

A business has Current Assets of Php 400,000 and Current Liabilities of Php 200,000. What is its Current Ratio?

- A) 2.00 : 1 [CORRECT ANSWER]**
- B) 0.50 : 1
- C) Php 200,000
- D) 1.50 : 1

Solution / Rationale: Correct Answer: A.

Current Ratio = Current Assets / Current Liabilities = Php 400,000 / Php 200,000 = 2.00 : 1.

Item 354 [reinf-u3-21] | Reinforcement 3.21: Classification of Prepaid Expenses - 1 pt

When an enterprise pays Php 36,000 cash in advance for a 6-month commercial space rental policy, how is the unexpired portion classified on the Statement of Financial Position?

- A) As an Operating Rent Expense on the Income Statement
- B) As a Current Liability (Unearned Rent)
- C) As an Owner's Drawing
- D) As a Current Asset (Prepaid Rent) [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Prepaid Expenses represent future economic benefits (rights to receive space or insurance) paid in cash in advance, classifying them as Current Assets.

Item 355 [reinf-u3-22] | Reinforcement 3.22: Classification of Unearned Revenue - 1 pt

An architectural firm receives a Php 50,000 cash advance from a client for building blueprints that will be drawn next month. On the date received, this Php 50,000 is classified as:

- A) Service Revenue earned immediately
- B) A Current Liability (Unearned Service Revenue) [CORRECT ANSWER]**
- C) A Non-Current Asset
- D) Contributed Capital

Solution / Rationale: Correct Answer: B.

Collecting cash before the service is performed creates a present obligation to render services in the future, classified as a Current Liability (Unearned Revenue).

Item 356 [reinf-u3-23] | Reinforcement 3.23: Classification of Accrued Revenue - 1 pt

A tutorial service conducts review sessions for students in December, earning Php 20,000, but has not yet collected the cash by December 31. This uncollected earned revenue is classified on the December 31 balance sheet as:

- A) A Current Liability (Unearned Revenue)
- B) A deduction from Owner's Capital
- C) A Current Asset (Accrued Revenue / Accounts Receivable) [CORRECT ANSWER]**
- D) An operating expense

Solution / Rationale: Correct Answer: C.

Revenue earned before cash is received creates a legal claim to collect cash, classified as a Current Asset (Accrued Revenue / Accounts Receivable).

Item 357 [reinf-u3-24] | Reinforcement 3.24: Classification of Accrued Expense - 1 pt

An entity's employees worked the last week of December, earning Php 15,000 in wages. Payroll will be paid on January 5. On the December 31 balance sheet, this unpaid wage obligation is classified as:

- A) A Current Asset (Prepaid Wages)
- B) A Non-Current Liability
- C) Owner's Drawings
- D) A Current Liability (Accrued Salaries / Salaries Payable) [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Expenses incurred but not yet paid in cash represent present obligations to transfer cash, classified as a Current Liability (Salaries Payable / Accrued Expense).

Item 358 [reinf-u3-25] | Reinforcement 3.25: Timing Contrast: Accruals vs. Deferrals - 1 pt

Which statement accurately describes the timing difference between an Accrual and a Deferral?

- A) In an Accrual, cash is exchanged before the economic service happens; in a Deferral, cash is exchanged after.
- B) Accruals apply only to corporations, while deferrals apply only to partnerships.
- C) There is no timing difference.
- D) In a Deferral (Prepayment), cash changes hands FIRST before the economic event/consumption; in an Accrual, the economic event occurs FIRST before cash changes hands. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Deferral/Prepayment: Cash moves first, economic performance later (Cash First). Accrual: Economic event occurs first, cash moves later (Economic Event First).

Item 359 [reinf-u3-26] | Reinforcement 3.26: Advances to Suppliers - 1 pt

An enterprise pays a Php 25,000 cash down payment to a supplier for office stationery that will be delivered in two weeks. How is this advance payment classified?

- A) As a Current Liability (Accounts Payable)
- B) As an immediate Supplies Expense
- C) As a Current Asset (Advances to Suppliers / Prepaid Supplies) [CORRECT ANSWER]**
- D) As an Owner's Drawing

Solution / Rationale: Correct Answer: C.

Paying cash in advance to a supplier gives the entity a right to receive future goods, classifying it as a Current Asset (Advances to Suppliers / Prepaid Asset).

Item 360 [reinf-u3-27] | Reinforcement 3.27: Advances from Customers - 1 pt

A customer pays a Php 10,000 cash deposit for specialized repair work that will be performed next month. How is this classified on the service firm's Statement of Financial Position?

- A) As Service Revenue earned
- B) As a Current Asset (Accounts Receivable)
- C) As a Current Liability (Advances from Customers / Unearned Revenue) [CORRECT ANSWER]**
- D) As an addition to Owner's Equity

Solution / Rationale: Correct Answer: C.

Cash received from a customer before performing services creates a duty to perform or refund, classifying it as a Current Liability (Advances from Customers / Unearned Revenue).

Item 361 [reinf-u3-28] | Reinforcement 3.28: Master Summary of Prepayments and Accruals - 1 pt

Which of the following pairings correctly matches the item with its Statement of Financial Position classification?

- A) Prepaid Insurance -> Current Liability; Unearned Revenue -> Current Asset
- B) Accrued Interest Receivable -> Current Asset; Accrued Utilities Payable -> Current Liability [CORRECT ANSWER]**
- C) Accrued Salaries Payable -> Current Asset; Prepaid Rent -> Current Liability
- D) Unearned Service Fees -> Non-Current Asset; Accounts Payable -> Equity

Solution / Rationale: Correct Answer: B.

Accrued Interest Receivable is a Current Asset (right to collect cash); Accrued Utilities Payable is a Current Liability (obligation to pay cash).

Item 362 [reinf-u3-29] | Reinforcement 3.29: Definition of Owner's Equity - 1 pt

Under the IFRS Conceptual Framework, 'Owner's Equity' is defined as:

- A) The total cash physically stored inside the business bank account.
- B) The residual interest in the assets of the enterprise after deducting all of its liabilities (Assets - Liabilities). [CORRECT ANSWER]**
- C) Total revenues collected from customers during the year.
- D) The market value of the owner's personal home.

Solution / Rationale: Correct Answer: B.

Owner's Equity is 'the residual interest in the assets of the entity after deducting all its liabilities' (Net Assets: $\text{Equity} = \text{Assets} - \text{Liabilities}$).

Item 363 [reinf-u3-30] | Reinforcement 3.30: Contributed Capital vs. Earned Capital - 1 pt

What is the difference between Contributed Capital and Earned Capital in Owner's Equity?

- A) Contributed capital comes from bank loans; earned capital comes from customer loans.
- B) Contributed capital is paid out as taxes; earned capital is paid out as drawings.
- C) There is no difference; they are identical.
- D) Contributed capital represents cash or assets directly invested by the owner into the business; earned capital represents cumulative historical net income retained in the business from profitable operations. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Contributed Capital is the owner's direct investment of resources into the firm. Earned Capital is accumulated net income generated by business operations that has been retained.

Item 364 [reinf-u3-31] | Reinforcement 3.31: Owner's Drawings Distinction - 1 pt

Why are Owner's Drawings (withdrawals) NOT reported as expenses on the Statement of Profit or Loss?

- A) Because owners are not allowed to withdraw cash.
- B) Because withdrawals are classified as non-current assets.
- C) Because drawings must be paid to the government.
- D) Because withdrawals are personal distributions of capital to the owner, not costs incurred in the ordinary operation of business to generate revenues. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Owner's Drawings are capital distributions to the owner in their capacity as an owner. They directly reduce equity on the Statement of Changes in Equity, but are never operational expenses.

Item 365 [reinf-u3-32] | Reinforcement 3.32: Definition of Revenue (Income) - 1 pt

Under the Conceptual Framework, 'Income' (Revenue) is defined as:

- A) Cash borrowed from a commercial bank.
- B) Initial cash investments made by the business founder.
- C) Increases in assets or decreases in liabilities that result in increases in equity, other than those relating to contributions from equity participants (owners). [CORRECT ANSWER]**
- D) Reductions in total operational expenses.

Solution / Rationale: Correct Answer: C.

Income encompasses increases in assets or decreases in liabilities that result in increases in equity, other than owner capital contributions.

Item 366 [reinf-u3-33] | Reinforcement 3.33: Definition of Expense - 1 pt

Under the Conceptual Framework, an 'Expense' is defined as:

- A) Cash withdrawn by the owner for family living expenses.
- B) Buying an office computer for cash.
- C) Decreases in assets or increases in liabilities that result in decreases in equity, other than those relating to distributions to equity participants (owner drawings). [CORRECT ANSWER]**
- D) Repaying the principal of a bank loan.

Solution / Rationale: Correct Answer: C.

Expenses are decreases in assets or increases in liabilities that result in decreases in equity, other than distributions to equity holders (drawings).

Item 367 [reinf-u3-34] | Reinforcement 3.34: Natural Form of Statement of Profit or Loss - 1 pt

A Statement of Profit or Loss for a service enterprise presents expenses listed as Salaries Expense, Rent Expense, Supplies Expense, Utilities Expense, and Depreciation Expense. This presentation is known as:

- A) The Functional Form (Cost of Sales method)
- B) The Classified Balance Sheet
- C) The Direct Cash Flow method
- D) The Natural Form (Nature of Expense method) [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

The Nature of Expense (Natural) format aggregates expenses according to their nature (e.g. salaries, rent, depreciation, utilities) without reallocating them to functional cost centers.

Item 368 [reinf-u3-35] | Reinforcement 3.35: Events that do NOT generate Revenue - 1 pt

Which of the following events does NOT result in the recognition of Revenue?

- A) Performing laundry services for a customer on credit
- B) Collecting an initial cash investment of Php 100,000 from the business owner [CORRECT ANSWER]**
- C) Renting out an extra room in the business office to a tenant for monthly rent
- D) Delivering completed architectural drawings to a client

Solution / Rationale: Correct Answer: B.

Owner capital contributions increase assets and equity, but represent Investments, not revenues earned from business operations.

Item 369 [reinf-u3-36] | Reinforcement 3.36: Basic Equation: Solve for Total Assets - 1 pt

An enterprise reports Total Liabilities of Php 180,000 and Owner's Equity of Php 320,000. What is the amount of Total Assets?

- A) Php 140,000
- B) Php 320,000
- C) Php 180,000
- D) Php 500,000 [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Assets = Liabilities + Owner's Equity = Php 180,000 + Php 320,000 = Php 500,000.

Item 370 [reinf-u3-37] | Reinforcement 3.37: Basic Equation: Solve for Owner's Equity - 1 pt

On December 31, an enterprise holds Cash of Php 50,000, Accounts Receivable of Php 80,000, Supplies of Php 20,000, and Equipment of Php 150,000. Its Total Liabilities equal Php 90,000. What is the Owner's Equity?

- A) Php 390,000
- B) Php 300,000
- C) Php 120,000

D) Php 210,000 [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

Total Assets = Php 50,000 + Php 80,000 + Php 20,000 + Php 150,000 = Php 300,000. Owner's Equity = Total Assets (Php 300,000) - Total Liabilities (Php 90,000) = Php 210,000.

Item 371 [reinf-u3-38] | Reinforcement 3.38: Equation Dynamics: Asset & Liability Changes - 1 pt

During the year, an entity's Total Liabilities decreased by Php 30,000 and Owner's Equity increased by Php 70,000. What was the net change in Total Assets during the period?

A) Increased by Php 40,000 [CORRECT ANSWER]

- B) Decreased by Php 100,000
- C) Decreased by Php 40,000
- D) Increased by Php 100,000

Solution / Rationale: Correct Answer: A.

Delta Assets = Delta Liabilities + Delta Owner's Equity = (-Php 30,000) + (+Php 70,000) = +Php 40,000 (Increase of Php 40,000).

Item 372 [reinf-u3-39] | Reinforcement 3.39: Proportional Equation: Liabilities as % of Equity - 1 pt

An enterprise reports Total Assets of Php 700,000. If Total Liabilities represent 40% of Owner's Equity, what is the amount of Owner's Equity?

- A) Php 280,000
- B) Php 420,000

C) Php 500,000 [CORRECT ANSWER]

- D) Php 350,000

Solution / Rationale: Correct Answer: C.

Assets = Liabilities + Owner's Equity. Since Liabilities = 0.40 x OE: Assets = 0.40 OE + 1.00 OE = 1.40 OE. OE = Php 700,000 / 1.40 = Php 500,000. (Check: Liabilities = Php 200,000; Php 200,000 + Php 500,000 = Php 700,000).

Item 373 [reinf-u3-40] | Reinforcement 3.40: Expanded Equity Equation: Solve for Ending Capital - 1 pt

At the start of 2026, an entity's beginning Owner's Equity was Php 250,000. During 2026, the owner invested an additional Php 50,000 cash, the business generated Revenues of Php 300,000 and incurred Expenses of Php 180,000, and the owner withdrew Php 40,000 for personal use. What is the Ending Owner's Equity at December 31, 2026?

- A) Php 460,000
- B) Php 340,000

C) Php 380,000 [CORRECT ANSWER]

- D) Php 300,000

Solution / Rationale: Correct Answer: C.

Net Income = Revenues (Php 300,000) - Expenses (Php 180,000) = Php 120,000. Ending Capital = Beginning Capital (Php 250,000) + Investments (Php 50,000) + Net Income (Php 120,000) - Drawings (Php 40,000) = Php 380,000.

Item 374 [reinf-u3-41] | Reinforcement 3.41: Solve for Owner's Drawings - 1 pt

A business started the year with Owner's Capital of Php 180,000. During the year, the owner made additional investments of Php 30,000 and the business earned a Net Income of Php 85,000. At year-end, the ending Owner's Capital is Php 260,000. How much cash was withdrawn by the owner during the year?

A) Php 35,000 [CORRECT ANSWER]

- B) Php 135,000
- C) Php 55,000
- D) Php 20,000

Solution / Rationale: Correct Answer: A.

Ending Capital = Beginning Capital + Investments + Net Income - Drawings. Php 260,000 = Php 180,000 + Php 30,000 + Php 85,000 - Drawings. Php 260,000 = Php 295,000 - Drawings $\Rightarrow$ Drawings = Php 295,000 - Php 260,000 = Php 35,000.

Item 375 [reinf-u3-42] | Reinforcement 3.42: Solve for Beginning Capital (Faith D. Nakpil Pattern) - 1 pt

An entrepreneur forgot her exact initial capital balance at the beginning of the year. Her records show that during the year, she invested an additional Php 100,000 in equipment, withdrew Php 15,000 for personal use, earned a Net Income of Php 140,000, and ended the year with an Ending Capital of Php 550,000. What was her Beginning Capital?

- A) Php 775,000
- B) Php 425,000
- C) Php 325,000 [CORRECT ANSWER]**
- D) Php 310,000

Solution / Rationale: Correct Answer: C.

Ending Capital = Beginning Capital + Investments + Net Income - Drawings. $\text{Php } 550,000 = \text{Beg Capital} + \text{Php } 100,000 + \text{Php } 140,000 - \text{Php } 15,000 = \text{Beg Capital} + \text{Php } 225,000$. $\text{Beg Capital} = \text{Php } 550,000 - \text{Php } 225,000 = \text{Php } 325,000$.

Item 376 [reinf-u3-43] | Reinforcement 3.43: Solve for Net Income via Equity Algebra - 1 pt

Beginning Owner's Equity was Php 150,000 and Ending Owner's Equity was Php 230,000. During the year, the owner invested an additional Php 20,000 and withdrew Php 35,000 for personal living expenses. What was the Net Income for the year?

- A) Php 95,000 [CORRECT ANSWER]**
- B) Php 65,000
- C) Php 80,000
- D) Php 115,000

Solution / Rationale: Correct Answer: A.

Ending Capital (Php 230,000) = Beginning Capital (Php 150,000) + Investments (Php 20,000) + Net Income - Drawings (Php 35,000). $\text{Php } 230,000 = \text{Php } 135,000 + \text{Net Income} \Rightarrow \text{Net Income} = \text{Php } 230,000 - \text{Php } 135,000 = \text{Php } 95,000$.

Item 377 [reinf-u3-44] | Reinforcement 3.44: Total Current Assets from Account Balances - 1 pt

A service company has the following account balances on December 31, 2026:

- Cash: Php 45,000
- Accounts Receivable: Php 60,000
- Office Supplies: Php 15,000
- Prepaid Rent: Php 30,000
- Office Equipment: Php 120,000
- Land: Php 400,000
- Accounts Payable: Php 35,000

What is the Total Current Assets?

- A) Php 150,000 [CORRECT ANSWER]**
- B) Php 670,000
- C) Php 270,000
- D) Php 120,000

Solution / Rationale: Correct Answer: A.

Current Assets = Cash (Php 45,000) + Accounts Receivable (Php 60,000) + Office Supplies (Php 15,000) + Prepaid Rent (Php 30,000) = Php 150,000. (Equipment and Land are Non-Current Assets).

Item 378 [reinf-u3-45] | Reinforcement 3.45: Total Non-Current Assets Computation - 1 pt

Using the data from the previous problem (Cash Php 45,000; AR Php 60,000; Supplies Php 15,000; Prepaid Rent Php 30,000; Office Equipment Php 120,000; Land Php 400,000), what is the Total Non-Current Assets and Total Assets?

- A) Non-Current: Php 400,000; Total Assets: Php 550,000
- B) Non-Current: Php 520,000; Total Assets: Php 670,000 [CORRECT ANSWER]**
- C) Non-Current: Php 120,000; Total Assets: Php 270,000
- D) Non-Current: Php 670,000; Total Assets: Php 820,000

Solution / Rationale: Correct Answer: B.

Total Non-Current Assets = Office Equipment (Php 120,000) + Land (Php 400,000) = Php 520,000. Total Assets = Current (Php 150,000) + Non-Current (Php 520,000) = Php 670,000.

Item 379 [reinf-u3-46] | Reinforcement 3.46: Total Current Liabilities from Account Balances - 1 pt

An enterprise has the following obligations on December 31, 2026:

- Accounts Payable: Php 40,000
- Accrued Salaries Payable: Php 18,000
- Unearned Service Revenue: Php 22,000
- Notes Payable (due in 60 days): Php 30,000
- Mortgage Payable (due in 5 years): Php 250,000

What is the Total Current Liabilities?

- A) Php 360,000
- B) Php 110,000 [CORRECT ANSWER]**
- C) Php 250,000
- D) Php 80,000

Solution / Rationale: Correct Answer: B.

Current Liabilities = Accounts Payable (Php 40,000) + Salaries Payable (Php 18,000) + Unearned Revenue (Php 22,000) + Short-term Notes Payable (Php 30,000) = Php 110,000. (Mortgage Payable is Non-Current).

Item 380 [reinf-u3-47] | Reinforcement 3.47: Net Income Calculation (Natural Form) - 1 pt

During August, FDN Salon Services earned Service Revenues of Php 180,000. It incurred the following expenses:

- Salaries Expense: Php 45,000
- Rent Expense: Php 25,000
- Utilities Expense: Php 12,000
- Supplies Expense: Php 8,000

During the month, the owner also withdrew Php 15,000 for personal use. What was the Net Income for August?

- A) Php 75,000
- B) Php 90,000 [CORRECT ANSWER]**
- C) Php 105,000
- D) Php 180,000

Solution / Rationale: Correct Answer: B.

Total Operating Expenses = Php 45,000 + Php 25,000 + Php 12,000 + Php 8,000 = Php 90,000. Net Income = Revenues (Php 180,000) - Expenses (Php 90,000) = Php 90,000. (Owner drawings of Php 15,000 reduce equity, but are NOT an expense).

Item 381 [reinf-u3-48] | Reinforcement 3.48: Transaction Effect: Paying Accounts Payable - 1 pt

An enterprise pays Php 20,000 cash to settle an outstanding Accounts Payable owed to a supplier. What is the net effect on the basic accounting equation?

- A) Total Assets decrease by Php 20,000 (Cash decreases) and Total Liabilities decrease by Php 20,000 (Accounts Payable decreases). [CORRECT ANSWER]**
- B) Total Assets increase by Php 20,000 and Total Liabilities decrease by Php 20,000.
- C) Total Assets decrease by Php 20,000 and Owner's Equity decreases by Php 20,000.
- D) Total Assets remain unchanged and Owner's Equity decreases by Php 20,000.

Solution / Rationale: Correct Answer: A.

Paying an account payable decreases an asset (Cash -Php 20,000) and decreases a liability (Accounts Payable -Php 20,000). The equation remains in balance: -Php 20,000 Assets = -Php 20,000 Liabilities.

Item 382 [reinf-u3-49] | Reinforcement 3.49: Transaction Effect: Purchasing Equipment with Cash & Credit - 1 pt

A business acquires a new office machine costing Php 80,000 by paying Php 20,000 cash and signing a 60-day promissory Note Payable for the remaining Php 60,000. What is the effect on the accounting equation?

- A) Total Assets increase by Php 60,000 (Machine +Php 80,000, Cash -Php 20,000) and Total Liabilities increase by Php 60,000 (Notes Payable). [CORRECT ANSWER]**
- B) Total Assets increase by Php 80,000 and Liabilities increase by Php 80,000.
- C) Total Assets increase by Php 60,000 and Owner's Equity increases by Php 60,000.
- D) Total Assets and Liabilities both remain unchanged.

Solution / Rationale: Correct Answer: A.

Machine asset increases by Php 80,000 and Cash asset decreases by Php 20,000 (net increase in Total Assets of +Php 60,000). Notes Payable liability increases by +Php 60,000. Equilibrium is maintained.

Item 383 [reinf-u3-50] | Reinforcement 3.50: Complete Four-Statement Interlocking Cycle - 1 pt

Which sequence correctly reflects how financial statements articulate and interlock at the end of an accounting period?

- A) Statement of Cash Flows -> Statement of Financial Position -> Statement of Profit or Loss -> Notes
- B) Statement of Financial Position -> Audit Report -> Trial Balance -> Statement of Profit or Loss
- C) Notes to Financial Statements -> Statement of Profit or Loss -> Source Documents

D) Statement of Profit or Loss (calculates Net Income) -> Statement of Changes in Owner's Equity (incorporates Net Income to calculate Ending Capital) -> Statement of Financial Position (reports Ending Capital and Cash) <- Statement of Cash Flows (reconciles Ending Cash) -> Notes to Financial Statements [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

The statements interlock: (1) SPL computes Net Income, (2) which flows into SOE to calculate Ending Capital, (3) which is reported on the SFP, (4) whose ending cash balance reconciles to the SCF, and (5) the Notes provide granular explanatory disclosures.